MERTON DAILY BRIEF - Thursday, June 19, 2026

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HEADLINE OF THE DAY

*US-Iran talks stall, oil under pressure, S&P weekly gain.** Washington-Tehran nuclear negotiations hit a snag over Lebanon before they even begin. Gold corrects (-1.2%) despite geopolitical tensions - the market favors the hawkish Fed narrative. S&P 500 ends the week at 7500 (+1.4% weekly), buoyed by Iran deal hopes. WTI at $76.5, Brent at $80.6. VIX plunges -9% on the day. BTC retreats to 63K (-2.1%).

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GLOBAL SENTIMENT

Indicator	Level	Change
S&P 500	7500.58	+1.45% (weekly)
NASDAQ	26517.93	-1.34% (5d)
VIX	16.78	-9.00%
DXY	100.85	+0.76%
Gold	4172.90 $/oz	-1.21%
WTI	76.54 $	-0.08%
Brent	80.59 $	+0.93%
BTC	63047 $	-2.14%
Copper	6.34 $	-0.59%
Silver	64.91 $/oz	-2.03%
US 10Y	4.45%	Stable
US 30Y	4.90%	Stable
US 5Y	4.23%	Stable
EUR/USD	1.1469	+0.09%
GBP/USD	1.3237	+0.27%
USD/JPY	161.28	-0.01%
USD/CHF	0.8064	+0.19%

* Read:** The market is in "selective risk-on" mode. VIX collapses 9%, S&P 500 closes weekly higher, and both EUR and GBP appreciate against the dollar. But the picture is more nuanced: NASDAQ declines, gold and silver correct sharply, copper weakens, and BTC retreats. The dollar strengthens despite risk-off on real assets - a sign the market is pricing prolonged monetary tightening (hawkish Fed) rather than true geopolitical de-escalation. Iran deal hopes support indices, but commodities don't follow, revealing underlying skepticism.

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MACRO - WHAT MOVED

United States

Hawkish Fed: Traders increase bets on US rate hikes following Iran tensions and the Fed's restrictive tone. Polymarket: 65.5% probability of a rate hike in 2026, 72.5% that rates remain unchanged in July.
US-Iran negotiations stalled: Nuclear talks delayed before starting, blocked by the Lebanon escalation. Trump says the Iran deal includes mindful attention to the dollar's global role. Polymarket: only 4.5% chance Iran agrees to end uranium enrichment by June 30.
S&P 500 weekly gain at 7500 (+1.4%), buoyed by peace hopes, but NASDAQ diverges lower (-1.34% over 5d), signaling sector rotation.
US tariff probe into Germany over pharmaceutical prices - Merz pushes back citing EU-US trade pact.
SpaceX IPO: Average buyers now underwater after two-day slide.

Europe

Burnham wins UK by-election, paving the way for an attempt to oust Starmer. The PM resists but pressure mounts.

Lane (ECB): Says it's hard to argue the ECB shouldn't have hiked rates. Hawkish tone supports the euro.
EU: Set to remove barriers to cross-border capital flows for banks - accelerated financial integration.
Bank of England: Plans to dilute capital rules for investment banks' trading activities.
Czech Republic: Billionaire PM feuds with central bank over rate hike.

China / Asia

China: FT headlines "How China's Economic Comeback Hit a Wall" - copper retreats (-0.59%) accordingly.
Jio (Ambani): Indian billionaire Mukesh Ambani files for blockbuster Jio IPO.
India: RBI rate setters see outlook improving as Middle East risks ease.
Japan: BOJ hikes rates to 1%. Yen remains fragile at 161.28. Nikkei closes above 70,000 for the first time.

Emerging Markets

Canada: Imposes temporary 10% tariff on canned vegetables. Retail sales up 1% in May (gasoline).
Russia: Warns room to ease is narrowing after small rate cut.
Cuba: Passes "urgent" reforms to liberalize economy under US pressure.
South Africa: Close to hiring manager for $9 billion property portfolio. Contraceptive shortage from Aspen disruption.

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GEOPOLITICS

Hot

US-Iran stalled: Nuclear negotiations delayed before beginning, snagged on Lebanon escalation. Iran proposes "insurance fees" for Strait of Hormuz passage and asserts control. Polymarket: 90.5% chance Hormuz traffic doesn't return to normal by end of June.
Israel-Hezbollah: Ceasefire agreed (FT), but clashes in Lebanon worsen. Polymarket: only 14% chance of permanent Israel-Hezbollah peace deal by June 30.
Ukraine strikes Moscow: Largest Ukrainian strike on Moscow sparks fuel shortage fears in Russia.

Watch

Strait of Hormuz: Iran asserts control. Polymarket: 45.5% chance of normal traffic by July 31.
Trump-Qatar: Trump accepts Qatar-gifted jet as new Air Force One despite ethics concerns.
US-Germany tariffs: Probe into German pharmaceutical pricing. Merz pushes back.
Poland-Ukraine: Polish president strips Zelenskyy of top state honor.

Positive

Israel-Hezbollah ceasefire signed (situation remains volatile).
Cuba: Economic liberalization reforms - potential opening.
India: RBI sees improving outlook as Middle East risks ease.

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FX FOCUS

Pair	Level	Change
`EUR/USD`	1.1469	+0.09%
`GBP/USD`	1.3237	+0.27%
`USD/JPY`	161.28	-0.01%
`USD/CHF`	0.8064	+0.19%

* Analysis:** The dollar is in an ambiguous position. DXY gains +0.76%, driven by the hawkish Fed rate differential and safe-haven status. But euro and pound resist remarkably well - the euro benefits from ECB hawkishness (Lane), and the pound despite the Burnham/Starmer political turmoil. The yen remains anchored at critical levels of 161.28 despite the BOJ rate hike to 1% - the US-Japan rate differential continues to weigh. Swiss franc appreciates slightly (+0.19%), reflecting selective safe-haven demand.

* Pair to watch:** `USD/JPY` - At 161.28, the yen is near crisis levels. Any BoJ intervention or policy

shift could trigger a violent move.

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COMMODITIES

Oil

WTI: $76.54 (-0.08%) - nearly flat despite Iran tensions
Brent: $80.59 (+0.93%) - outperforms WTI, reflecting geopolitical risk premium on international shipping routes
Oil rises on the week as Iran negotiations falter and tanker movements slow. Polymarket: only 3.8% chance WTI hits $100 in June.

Gold & Silver

Gold: $4172.90/oz (-1.21%) - weekly loss
Silver: $64.91/oz (-2.03%) - corrects more sharply
Paradox: gold corrects despite geopolitical tensions. Main reason: hawkish Fed tone - higher rates = higher opportunity cost for non-yielding gold. Iran deal prospects also weigh on safe-haven demand.

Copper

Copper: $6.34 (-0.59%) - affected by doubts over China's economic recovery

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TODAY'S CALENDAR

*Thursday, June 19, 2026:** No major economic data releases.

*Ongoing qualitative events:**
US-Iran negotiations (status: delayed/blocked)
Israel-Hezbollah ceasefire (signed but fragile)
Potential Fed speakers (hawkish tone dominant)

*Next week (to watch):**
Flash PMI US/EU/UK (Friday, June 26)
US PCE inflation data (Fed's preferred measure)
Powell and Fed speakers
US housing data

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DEEP MACRO THEME

*The peace paradox: when geopolitics no longer scares markets.**

We are living through a singular macro moment. The US and Iran are negotiating a nuclear deal, Israel and Hezbollah have signed a ceasefire, yet gold corrects, the VIX collapses, and the S&P 500 rises. The traditional "geopolitical tension = risk-off" logic is reversing.

Because the market has understood something fundamental: an Iran deal would not just be a positive geopolitical event - it would be a transformative macroeconomic event. Lifting Iranian sanctions would mean additional oil supply (Iran can export 1-1.5 million barrels/day more), lower energy risk premiums, and potentially imported disinflation. This is exactly what the Fed wants to see to justify an accommodative pivot.

But - and this is the crucial point - the market is already pricing this optimistic scenario. Polymarket gives a 59.2% chance of a US-Iran diplomatic meeting by June 30, and 72.5% chance the Fed holds rates steady in July. The risk is not that peace fails (the market partially expects this), but that the Fed stays hawkish EVEN with an Iran deal, because underlying inflation (services, rents) remains sticky.

The real theme of this week: **the market is trading Iran peace, but the Fed isn't cooperating.** As long as this divergence persists, risk assets can rise short-term, but long rates (10Y at 4.45%, 30Y at 4.90%) won't fall, which will eventually weigh on valuations. The 30Y at 4.90% is a warning signal the bond vigilantes haven't digested yet.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **Iran deal likely this summer** - Polymarket ~59% for diplomatic meeting by June 30. S&P 500 partially prices this in. **Verdict: Optimistic but not unrealistic.**
2. **Fed on hold in July** - 72.5% chance of no change. **Verdict: Realistic.**
3. **Inflation gradually declining** - Soft landing priced. **Verdict: Risky.** Services inflation remains sticky, and an Iran oil shock could reignite pressures.
4. **Structurally weak yen** - USD/JPY at 161. **Verdict: Justified short-term**, but BoJ intervention risk is underestimated.
5. **Gold as safe haven** - Gold corrects despite tensions. **Verdict: Market is right** - in a hawkish environment, the refuge is the dollar, not gold.
6. **Oil range-bound** - WTI $70-80. **Verdict: Asymmetric to the upside.** If Iran closes Hormuz or talks collapse, oil could spike. Tail risk underpriced.

The Alpha:

1. **Long Brent / Short WTI (spread)** - Spread ~$4. Target: $6-7. Invalidation: rapid Iran deal.
2. **Short USD/JPY on rally to 162-163** - Stop: 165. Target: 155. BoJ intervention risk.
3. **Long Gold on correction to $4050-4100** - Stop: $3950. Target: $4400+. Fundamentals intact (central bank buying, dedollarization, US debt).
4. **Long VIX calls 20-22 (protection)** - VIX at 16.78 is at lows. Any Middle East escalation or inflation surprise will cause a spike.
5. **Short Copper / Long Aluminium** - China slowing, copper suffers. Aluminium benefits from energy transition and different supply constraints.

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MERTON'S TAKE

We are in a **"fragile peace rally"** regime - the market rises on Iran deal hopes, but fundamentals don't follow yet. The S&P 500 at 7500 is a key psychological level, and the divergence with NASDAQ is a classic late-move warning signal.

The driver of the week: **the Fed-market divergence.** The hawkish Fed, risk-on equity market (VIX -9%), and unmoved bonds (10Y stable at 4.45%) create an unstable configuration.

My conviction: **the base case remains a partial Iran deal by end of July**, which would support oil short-term (upside surprise if talks fail) but weigh on gold. Trade of the week: **long Brent with stop below $75** and **accumulate gold on weakness toward $4050-4100**.

Positioning: hold US equities (S&P) with stop below 7300. Avoid NASDAQ (relative underperformance). Buy gold on weakness. Watch USD/JPY for mean-reversion trade if BoJ intervenes. The 30Y at 4.90% is the level to break for a bond bull market validation - until then, stay cautious on duration.

The real risk this week isn't Iran - it's a **surprise PCE print** that forces the Fed to tighten further. This scenario is underpriced and would be the biggest risk to the current rally.

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SOURCES CONSULTED

Yahoo Finance API - Real-time prices: S&P 500, NASDAQ, VIX, DXY, Gold, WTI, Brent, BTC, Copper, Silver, US 10Y/30Y/5Y, EUR/USD, GBP/USD, USD/JPY, USD/CHF
Bloomberg RSS Markets - Stocks Stall as Iran Nuclear Talks Hit Early Snag, Gold Set for Weekly Loss, Oil Gains as Iran War Negotiations Falter
Bloomberg RSS Economics - Traders Boost US Rate-Hike Bets on Iran Concerns, Warning to Yen Traders Fails, US Launches Tariff Probe Into Germany
Bloomberg RSS Politics - US-Iran Nuclear Talks Stall Over Lebanon, Iran Floats Insurance Fees for

Hormham, Ukraine's Biggest Strike on Moscow

FT RSS Home - Israel and Hizbollah Agree Ceasefire, Iran Deal Brings Little Relief for Central Banks, How China's Economic Comeback Hit a Wall

FT RSS Markets - EU Set to Remove Barriers to Banks' Capital Flows, The Future According to Opec

Polymarket API (gamma-api) - Iran enrichment 4.5% by June 30, Hormuz normal 9.5% by June 30, Fed rate hike 65.5% in 2026, Fed unchanged July 72.5%, WTI $100 June 3.8%

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Generated at 23:41 CEST - Merton v2.0 - June 19, 2026*